MORNING BRIEFING — TUESDAY 21 JULY 2026

Generated ~08:00 London time (BST) · Data collected 06:00–08:00 BST, 21 July 2026 · Pre-European-open

1. HEADER

Date: Tuesday, 21 July 2026 **Generation time:** ~08:00 BST (London) **Timezone reference:** all times London (BST, UTC+1) unless stated.

Dominant theme: escalating US–Iran conflict and disruption to shipping through the Strait of Hormuz is driving oil, rates and equity moves this morning. UK has a new Prime Minister (Andy Burnham) as of 20 July.

2. IMPORTANT NEWS

US–Iran conflict escalates further, Strait of Hormuz disrupted

Bloomberg / Al Jazeera / Axios · 20–21 Jul

US conducted a ninth/tenth consecutive night of strikes on Iran; Iran says the ceasefire has "collapsed" and its navy is intercepting vessels in the Strait of Hormuz. Brent crude spiked above $91/bbl intraday. This is the single biggest cross-asset driver this morning — oil, rates and risk sentiment.

Andy Burnham becomes UK Prime Minister

Washington Post / Bloomberg / FXStreet · 20 Jul

Burnham succeeds Keir Starmer as the UK's 7th PM in a decade. Long-dated gilts sold off to their highest yields since late May after he signalled he'd seek "any flexibility" on fiscal rules; GBP/USD fell for a third straight session. Watch gilt-sensitive UK domestic names at the open.

Ryanair Q1 profit falls 34% on fuel costs, flags "zero H2 visibility"

Bloomberg / Investing.com · 20 Jul

Profit after tax €538m vs €820m prior year; EPS $1.19 vs $1.35 est. Unhedged fuel exposure (~20%) hit by the Iran-driven oil spike. Shares fell >5%, dragging STOXX 600 travel & leisure to the worst-performing sector Monday. Read-through risk for European travel/leisure today.

AI/semiconductor selloff deepens, SOX index in bear-market territory

Bloomberg / Intellectia.ai · ongoing into 20 Jul

AI chip stocks have lost over $1 trillion in market value in July; Philadelphia Semiconductor Index down ~24% from its late-June high. Driven by custom-silicon competition to Nvidia and an SK Hynix HBM-supply report. AMD bucked the trend (+~5% Monday) on a new Microsoft Azure Helios-rack deal.

Trump praises North Sea oil, welcomes UK fast-track on drilling

CNBC · 20 Jul

Trump called Britain a "poverty stricken disaster" while welcoming Burnham's plan to fast-track North Sea drilling at Jackdaw and Rosebank without new licences. Bullish read-through for North Sea E&P and oilfield-services names (Shell, Harbour Energy, Equinor).

3. EUROPEAN FUTURES (PRE-OPEN)

INSTRUMENT	LEVEL	EXPECTED MOVE	NOTE
Euro Stoxx 50 futures	~6,326–6,329	n/a – no clean cross-sourced Tue delta	Eurex, session range 6,283–6,338
DAX futures	n/a level	~-0.1%	Early pre-market commentary, unconfirmed for today specifically
CAC 40 futures	n/a level	~flat	Unconfirmed for today specifically
FTSE 100 futures	n/a	n/a	No reliable pre-open figure found
S&P 500 futures	7,502.75	+5.00pts / +0.07%	Benzinga, ~20:57 ET Monday
Nasdaq 100 futures	28,855.50	+82.25pts / +0.29%	Benzinga, ~20:57 ET Monday
Dow futures	52,363.00	-12.00pts / -0.02%	Benzinga, ~20:57 ET Monday

European futures data is thin this morning; multiple aggregator sites were bot-blocked. Directionally, European futures read soft/mixed while US futures are marginally higher on Trump's Iran commentary offsetting oil-driven caution.

4. YESTERDAY'S CLOSES — EUROPEAN INDICES (MONDAY 20 JULY 2026)

INDEX	CLOSE	CHANGE
Euro Stoxx 50	n/a for 20 Jul	Last confirmed: Fri 18 Jul close 6,229 (-1.1%)
DAX	~24,846.69	~+0.06%
CAC 40	~8,316	~-0.28%
FTSE 100	10,543	-57pts / -0.54%

Sources conflicted on DAX/CAC exact prints (likely different vendor snapshot times) — treat as approximate. FTSE 100 losers: Barratt Redrow (-3.44%), Airtel Africa (-3.29%), Kingfisher (-3.22%). Gainers: Experian (+2.37%), Diploma (+1.42%), JD Sports (+1.17%). Overall tone: European equities eased Monday on Middle East/oil caution ahead of Thursday's ECB and US tech earnings.

5. US MARKETS — YESTERDAY'S SESSION (MONDAY 20 JULY 2026)

INDEX	CLOSE	CHANGE
S&P 500	7,443.28	**-0.19%**
Dow Jones	51,839.26	**-307.16pts / -0.59%**
Nasdaq Composite	25,508.07	**-0.05%**

Tone: risk-off early on Iran/oil escalation, paring losses through the session as Iran signalled continued diplomatic contact. **Laggard:** Apple (>-2%, biggest Dow drag, no fresh catalyst). **Leader:** AMD (+~5% on Microsoft Azure Helios-rack deal); Nvidia and SanDisk stabilized after last week's AI-valuation selloff. US 10-year yield ticked up ~1bp. **Key takeaway:** geopolitical/oil headline risk is driving intraday swings more than fundamentals, with chip-sector dispersion the standout theme ahead of this week's Big Tech earnings.

6. ASIAN MARKETS — OVERNIGHT SESSION (INTO 21 JULY 2026)

INDEX	LEVEL	CHANGE	NOTE
Nikkei 225	~64,945–65,314	**+2.2%**	Closed Monday for Marine Day; reopened Tue on bargain-hunting, led by Advantest, SoftBank, Fast Retailing
Kospi	~6,814	**+4.57%**	Rebounded Tue after Monday's -2.04% (6,516.27) AI-stock/oil-driven selloff
Hang Seng	25,143.05 (Mon close)	**+2.36% (Mon); further ~+0.3% intraday Tue**	Led by Alibaba, Tencent, Meituan, BYD; Tue final close n/a
Shanghai Composite	3,796.3 (Mon close)	**+0.85% (Mon)**	PBOC firmer yuan fixing; Tue final close n/a

Tone: broad risk-on rebound overnight, chip/AI-led bargain hunting (MSCI Asia Pacific +1.7%), against a backdrop of still-unresolved US-Iran tensions and Brent holding near $90.

7. COMMODITIES

INSTRUMENT	LEVEL	CHANGE	NOTE
Brent crude	~$90.70/bbl (intraday high $91.41)	+3.0% intraday	Mon settle $89.22 (+1.3%). Surging on US-Iran escalation and Hormuz disruption.
WTI crude	$82.43/bbl	-0.06% intraday	Mon settle $83.23 (+0.9%), +~20% for the month. Less follow-through than Brent, which carries the larger Gulf risk premium.
Gold (spot)	$4,022.46/oz	+0.36%	Steadying above $4,000 but near a 9-month low, balancing energy-driven inflation risk vs safe-haven demand.
Natural gas (TTF, EU benchmark)	€59.83/MWh (Mon)	+4.08%	Highest in months on threats to Gulf gas/LNG routes. Henry Hub (US): n/a.
Copper	$6.32/lb	+0.36% (24h); +1.12% Mon	ICSG flipped its 2026 global forecast from a 209kt surplus to a 150kt deficit on Latin American mine disruptions.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE
US 10Y Treasury yield	~4.56–4.60%	+1 to +5bps (source variance, see footer)
German 10Y Bund yield	3.15%	Near 2-month high; exact bps n/a
EUR/USD	~1.1420–1.1426	~-0.1 to -0.17%
GBP/USD	~1.3420–1.3445	~flat to -0.1%
DXY (US Dollar Index)	~100.9–101.0	~+0.2%

Dollar firming broadly on higher Treasury yields and Gulf-tension safe-haven flows. Bund yield near a 2-month high as oil prices reinforce market pricing of two further ECB hikes by early 2027.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (MONDAY 20 JULY 2026)

Deal-level pricing (issuer/size/maturity/coupon/spread) sits behind IFR/GlobalCapital paywalls and could not be confirmed for 20 July specifically — marked n/a. Confirmed tone: euro IG corporate bond new-issue premiums (NIPs) are climbing as order books thin (GlobalCapital). Covered bonds remain in a seasonal lull — no EUR benchmark covered bond priced for a second consecutive week. Reverse Yankee supply remains a dominant 2026 theme (John Deere, Verizon, PepsiCo, JPMorgan, Goldman Sachs, T-Mobile, Ford, WP Carey tapping EUR/GBP to arbitrage a ~150-170bp US-vs-Europe IG yield gap).

PIPELINE / EXPECTED TODAY

No named mandates confirmed via open search for 21 July (n/a). Weekly euro supply estimated around **€28bn**, a step-down from June's pace as issuers front-load ahead of Thursday's ECB meeting and Friday's flash PMIs. EU: €80bn long-term EU-Bonds funding target for Jul-Dec 2026 (four syndications, six auctions planned). France: OAT long-end taps (10y/2036 area) around €12-13bn flagged for early-July supply, indicative of a heavy sovereign calendar into Q3. KfW 2026 target €75-80bn; EIB 2026 programme €60bn.

KEY SPREADS

INDEX	LEVEL	DIRECTION	NOTE
iTraxx Crossover (5Y)	246bp	Stale – as of 9 Jul; likely wider today given risk-off	No confirmed 20/21 Jul print found
iTraxx Main	n/a	n/a	No current level found in open search
CDX IG (NA)	n/a	n/a	No current level found in open search
Euro HY (ICE BofA OAS)	252bp (17 Jul); ~278bp per TwentyFour AM	**~12bp tighter than pre-Iran-war levels**	FRED / TwentyFour AM, secondary cross-check
US IG corporate OAS	~74–76bp	**1st percentile over 20-yr lookback – historically very tight**	Chandler Asset Management

COMMENTARY

Primary market tone is open but selective and pricier: NIPs are rising and books thinning even as headline spread levels stay historically tight — a classic late-cycle dynamic. Reverse Yankee issuance remains the standout technical. Expect the window to compress into Thursday's ECB decision and Friday's flash PMIs, with credit desks cautious on execution for industrials, transport (autos/airlines under fuel-cost pressure) and financials given the Iran/Hormuz overhang and the AI-semiconductor selloff.

10. ECONOMIC CALENDAR

LONDON TIME	INDICATOR	CONSENSUS	IMPORTANCE
No confirmed high-importance Eurozone/UK/US releases identified for 21 July 2026. Calendar is light today.			

For context, this week:
Wed 22 Jul, 07:00 — UK CPI (June), YoY. Prior 2.8% (May). Consensus n/a. HIGH
Thu 23 Jul, 13:45 CET decision / 14:30 CET press conf — ECB rate decision. Hold expected (~84% probability). HIGH
Fri 24 Jul — Flash PMIs (US, Eurozone, Japan). HIGH
Wed 29 Jul — FOMC (Fed) rate decision. HIGH
Thu 30 Jul — Bank of England rate decision. HIGH

11. CORPORATE EVENTS & EARNINGS

Charles Schwab (SCHW)

Q2 2026 results, before US open. Consensus EPS $1.55, revenue $6.89bn.

Novartis (NVS)

Q2 2026 results, before market open. Consensus EPS $2.15 (-11.2% y/y), revenue $14.06bn. Follows FDA's 19 Jul conversion of Fabhalta's accelerated approval to full approval (IgA nephropathy).

~73 companies reporting globally today per Earnings Whispers, rising to 134/169 Wed/Thu as Q2 season accelerates. FactSet projects S&P 500 Q2 EPS growth of ~23.6% y/y.

Later this week: Novartis, UniCredit, SAP, Volkswagen (half-year results, 24 Jul). No detailed European (LSE/Xetra/Euronext) AGM slate confirmed for today beyond the above – n/a.

12. STOCKS TO WATCH

COMPANY	REASON	DIRECTION
Charles Schwab	Q2 earnings before the bell, consensus EPS $1.55	Swing
Novartis	Q2 earnings before the bell, post-Fabhalta full FDA approval	**Up (est.)**
AMD	Microsoft Azure adopting Helios AI racks – credible Nvidia rival system	**Up**
Apple	>2% drop Monday dragged the Dow; no fresh catalyst confirmed	Watch / possible bounce
Shell / Equinor (Adura JV) / Harbour Energy	Burnham fast-tracking North Sea drilling at Jackdaw & Rosebank	**Up**
Barratt Redrow & UK domestic names	Gilt yields up, GBP down on fiscal-flexibility jitters under new PM	**Down**
Synopsys / Cadence	Reports of Moonshot AI's Kimi K3 model autonomously designing a chip, bypassing both firms' tools	**Down / volatile**
RTX	NATO's $40bn counter-drone investment (18 Jul) lifting sentiment ahead of 23 Jul earnings	**Up (modest)**
Nvidia / SanDisk	Stabilizing after last week's AI-valuation selloff	Watch
Samsung / TSMC / Alibaba / Tencent / BYD	Broad Asian tech/AI rebound overnight	**Up**

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

ECB hiked 25bp to 2.25% deposit rate in June; decision Thu 23 Jul – hold expected (~84% probability), September hike the base case depending on oil pass-through.

Euro area HICP 2.8% in June (down from 3.2% in May); energy component still elevated. Next flash estimate 31 Jul.

Fed in pre-meeting blackout; FOMC meets 28-29 Jul. Previously priced rate cuts have been pared back as oil-driven inflation risk shifts the narrative toward "higher for longer."

German 10Y Bund at 3.15%, near a 2-month high on rate-hike repricing.

CORPORATE

Ryanair Q1 profit -34% y/y on fuel costs; "zero H2 visibility" guidance.

AI chip selloff: >$1trn of market value lost in July; SOX index -24% from late-June high, in bear-market territory.

Q2 earnings season shaping up strong for Europe: MSCI Europe aggregate earnings growth +11.5% (best since Q1 2023), though ex-energy growth a more modest +6%. ASML already beat and raised guidance.

M&A: Bouygues Telecom/Orange/Iliad MoU to acquire SFR for €20.35bn incl. debt; Hapag-Lloyd/ZIM Integrated Shipping $4bn merger; Novartis to acquire Myricx Bio for $1.5bn.

POLITICAL / GEOPOLITICAL

US-Iran ceasefire collapsed 8 Jul; ninth/tenth consecutive night of US strikes; Iran halting vessels in the Strait of Hormuz. US service-member death toll at 16 since the war began in February.

New UK PM Andy Burnham vowed a "10-year plan to stabilise" the UK; held calls with Chancellor Merz and President Macron on Kensington Treaty cooperation and the Ukraine "Coalition of the Willing."

US-EU trade deal in force since 1 Jul: flat 15% US tariff on EU goods (no MFN stacking), US autos into EU cut to 15% from 27.5%, steel remains at 50%. Trump has separately threatened 100% tariffs on countries pursuing Digital Services Taxes on US tech firms.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

Iran/Hormuz escalation & oil shock – Brent +3.3% to ~$91 after a 9th night of US strikes; the single biggest swing factor for rates, credit and equities today.

AI/semiconductor selloff continuation – SOX in a technical bear market; stabilization or further downside sets the tone for European tech suppliers.

Ryanair-led travel/leisure repricing – a 34% profit miss and "zero H2 visibility" is a read-through risk for transport/leisure today.

Dollar/safe-haven bid vs euro – softer EUR/USD and weaker yen reflect risk-off positioning that could pressure European risk assets.

Credit spread reaction – watch iTraxx Crossover/Main for a widening move on the oil spike and equity selloff.

THIS WEEK'S TOP 5

ECB decision, Thu 23 Jul – hold expected; Lagarde's tone on the oil shock and September hike odds is the real event risk.

Big Tech/AI earnings, Wed 22 Jul (after close) – Alphabet, Tesla, Texas Instruments, GE Vernova; a test for whether the AI selloff stabilizes.

European blue-chip earnings – Novartis, UniCredit, SAP, Volkswagen (24 Jul).

Flash PMIs, Fri 24 Jul – US, Eurozone, Japan – first clean Q3 activity read amid the oil shock.

Iran war trajectory / Hormuz shipping status – de-escalation or further disruption directly moves oil, inflation expectations and rates/credit through the week.

THIS MONTH'S TOP 5

FOMC meeting, 28-29 Jul – first major decision after the ECB; priced Fed cuts largely removed given oil-driven inflation risk.

Peak Q2/H1 earnings season – Europe's strongest earnings season in years, but with a widening AI/tech performance gap vs the US.

Iran war resolution or further escalation – dominant swing factor for oil, inflation and both ECB's September decision and Fed positioning.

Euro area flash July inflation, 31 Jul – first read on whether the oil shock is feeding into headline HICP.

Primary market summer lull into August – covered bonds already dormant; euro IG/HY supply expected to thin further before a September rebound.

15. KEY TRENDS TO WATCH

1 DAY

Iran/Hormuz headlines and any shipping-disruption escalation – direct driver of Brent and safe-haven flows.

Follow-through (or stabilization) in semiconductor/AI names after the SOX bear-market move.

Sector read-through from Ryanair's profit warning into European travel/leisure and fuel-exposed industrials.

Credit index moves (iTraxx Crossover/Main) as a real-time gauge of risk-off intensity.

EUR/USD and Bund yield direction as rates digest the oil shock ahead of Thursday's ECB.

1 WEEK

Thu 23 Jul: ECB rate decision + Lagarde press conference – key for September hike signaling.

Wed 22 Jul (after close): Alphabet, Tesla, Texas Instruments, GE Vernova earnings – AI capex/guidance test.

Novartis, UniCredit, SAP, Volkswagen (24 Jul) earnings.

Fri 24 Jul: flash PMIs (US, Eurozone, Japan) – first clean Q3 read.

Ongoing Iran/Hormuz conflict path – critical swing factor for the week's cross-asset moves.

1 MONTH

FOMC meeting 28-29 Jul – whether the Fed shifts its cutting bias given oil-driven inflation risk.

Peak European/US Q2 earnings season through end-July/early-August – AI capex/monetization narrative and Europe's AI-gap.

Iran war trajectory – largest tail risk for oil, inflation and both ECB's (likely September) and Fed's next moves.

Euro area flash July inflation (31 Jul) and subsequent US PCE data – will confirm oil-shock pass-through.

Primary DCM supply pattern – summer lull expected to deepen into August; euro corporate NIPs and book quality worth monitoring as an early-warning signal.

Sources: Reuters, Bloomberg, CNBC, Axios, Al Jazeera, Washington Post, FT-adjacent aggregators (TradingEconomics, Investing.com, FXStreet, Benzinga), GlobalCapital, IFR-adjacent (NORD/LB Covered Bond & SSA View, LBBW Bonds Weekly, Chandler Asset Management, TwentyFour AM), FRED/ICE BofA, Eurostat, ECB, European Commission, ONS, GOV.UK, Yahoo Finance/AP wire, Seoul Economic Daily, BBN Times, MarketScreener, SiliconANGLE, Alphastreet, GuruFocus, Wikipedia (2026 Strait of Hormuz crisis), Babypips.

Several figures show source-to-source variance (different vendor snapshot times) and are flagged inline; items that could not be reliably sourced are marked n/a rather than estimated.